

Essential model primitives

Primitive	Interpretation	Baseline
Common merits	Shared, unobserved case quality	$Q \sim U[0, 1]$
True liability	Normative liability benchmark	$T \mid Q \sim \text{Bernoulli}(Q)$; $\Pr(T = 1) = 0.5$
Private information	One noisy merits signal per party	10 bins each
Signal noise	Party and court noise parameters	$\sigma_P = \sigma_D = \sigma_C = 0.20$
Adjudication	Unobserved court signal determines trial winner	2 court-signal bins
Damages	Fixed award if plaintiff wins	$d = 1$
Initial wealth	Wealth before litigation	$w_P = w_D = 10$
Filing / answering	Plaintiff filing and defendant answering costs	0.15 per acting party
Trial costs	Additional cost if trial occurs	0.15 per party
Bargaining costs	Additional cost of making demands/offers	0
Participation and exit	Endogenous filing/answering; exit precommitted before offers, effective after bargaining fails	P may abandon; D may default
Bargaining	One simultaneous demand/offer round; settlement at midpoint if demand does not exceed offer	10 actions: $0.05, 0.15, \dots, 0.95$
Preferences	Expected monetary payoff	Risk neutral ($\alpha = 0$)
Fee regimes	American: own costs. British: loser pays both parties' costs at trial	No fee shifting on exit
Integration	Integrate over continuous merits; not a 64-state strategic game	64-point Gauss–Legendre

Monetary amounts are in units of damages. All baseline costs use multiplier 1. Signals are conditionally independent given exact Q ; parties do not observe Q , T , or the court signal before bargaining.